

■ NON-COTTON YARN

MARKET INTELLIGENCE REPORT

Polyester • Viscose • Nylon • Acrylic • Wool • Silk • rPET Recycled | 2024-25 vs 2025-26

■ Global MMF Market	■■ India State & Type-Wise	■ Tamil Nadu District-Wise
■ Monthly Price Tracker	■ Export & Import Data	■ 6-Month Forecast

Report Date: May 2026 | Coimbatore, Tamil Nadu, India

Scope: Global → India → Tamil Nadu → 12-Month Tracker → 6-Month Forecast

Yarn Types: PFY, PSF, VSF, VFY, NFY, Acrylic, Wool, Silk, PC Blend, PV Blend, rPET

Sources: IBEF, Fibre2Fashion, MATEXIL, SRTEPC, Mordor Intelligence, USDA-FAS, IMARC

SECTION 1 | WHAT IS NON-COTTON
YARN?

Types • Fibre Sources • Properties •
Applications

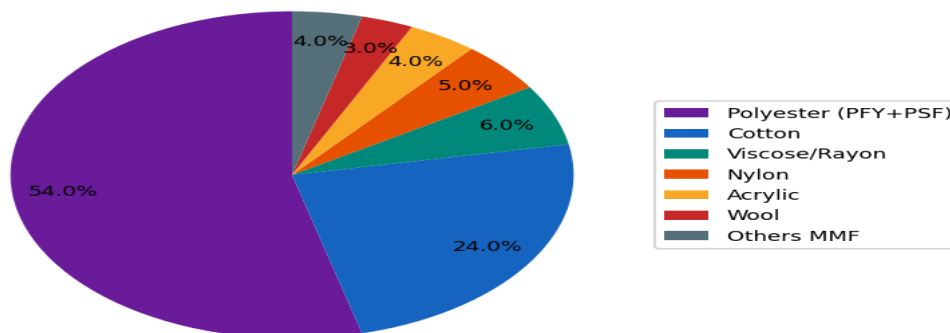
1.1 Classification of Non-Cotton Yarns

Non-cotton yarns are produced from **Man-Made Fibres (MMF)** or other natural fibres that are not cotton. They are broadly classified into three families: **(1) Synthetic** – made from petroleum-derived chemicals (polyester, nylon, acrylic, polypropylene); **(2) Cellulosic / Regenerated** – derived from wood pulp or plant cellulose (viscose/rayon, modal, lyocell/Tencel); and **(3) Natural Protein Fibres** – from animal sources (wool, silk, cashmere, angora). Globally MMF now accounts for **~68% of all fibre consumed**, growing at 3.7% annually, and is overtaking cotton across most application segments.

Category	Yarn Type	Fibre Source	Key Properties	Primary Applications	CAGR 2026-30
SYNTHETIC (Petroleum)	Polyester Filament (PFY)	PTA + MEG (from crude oil)	Strong, wrinkle-resistant, fast-dry, low cost	Apparel, home textile, technical textile	4.2%
SYNTHETIC	Polyester Staple (PSF Spun)	PTA + MEG	Soft, blendable, heat-retaining	Blended yarn, filling, geo-textile, filters	3.8%
SYNTHETIC	Nylon Filament (NFY / PA6 / PA66)	Caprolactam (petrochemical)	High tensile strength, elastic, abrasion resistant	Sportswear, lingerie, tyre cord, technical	5.8%
SYNTHETIC	Acrylic Spun	Acrylonitrile (petrochemical)	Wool-like, lightweight, weather resistant	Knitwear, blankets, home décor, socks	3.5%
SYNTHETIC	Polypropylene (PP Yarn)	Propylene (petrochemical)	Lightest fibre, chemical resistant, hydrophobic	Geo-textile, ropes, agri-net, bags	5.2%
SYNTHETIC	rPET Recycled Polyester	PET Bottles (post-consumer)	Eco-friendly, similar to virgin PFY, GRS certified	Eco-fashion, sportswear, fleece, premium brands	18.5%
CELLULOSIC (Wood Pulp)	Viscose / Rayon (VSF & VFY)	Wood pulp (cellulose)	Soft, breathable, drape, cotton-like feel	Sarees, fashion, blended fabrics, lining	7.2%
CELLULOSIC	Modal Yarn	Beech wood (cellulose)	Softer than cotton, high wet strength, colourfast	Premium innerwear, activewear, T-shirts	8.5%
CELLULOSIC	Lyocell / Tencel	Eucalyptus wood (closed-loop)	Biodegradable, moisture management, eco-certified	Premium fashion, denim, medical textiles	11.5%
NATURAL (Animal)	Wool (Worsted/Woolen)	Merino & crossbred sheep fleece	Warm, elastic, natural fire resistant, renewable	Suiting, knitwear, carpets, luxury	2.1%
NATURAL	Silk (Mulberry/Tussar)	Silkworm cocoon (Bombyx mori)	Lustrous, lightweight, hypoallergenic, strong	Sarees, luxury fashion, handicraft, scarves	4.8%
NATURAL	Linen / Jute Yarn	Flax plant / Jute plant	Strong, eco-friendly, cool, moisture-wicking	Linen apparel, home textile, industrial bags	3.2%

1.2 Global Fibre Consumption Mix 2025-26

Global Fibre Consumption Share 2025-26



SECTION 2 | GLOBAL NON-COTTON

YARN MARKET OVERVIEW

Market Size • Output • Growth | 2024-25 vs 2025-26

\$127B

Global MMF Market 2034
(Projected)

+7.5%

Global Non-Cotton Yarn YoY
2025-26

87.6M MT

Total Non-Cotton Yarn
Output 2025-26E

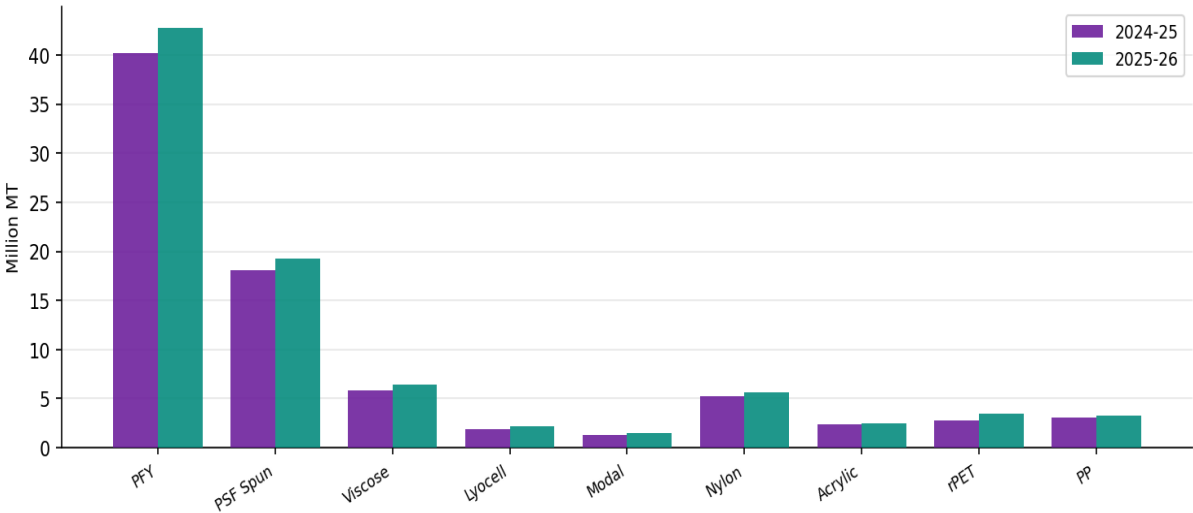
+25%

rPET Recycled Yarn Fastest
Growing

2.1 Global Non-Cotton Yarn Production & Market Data

Yarn Type	2023-24 (M MT)	2024-25 (M MT)	2025-26E (M MT)	YoY%	Avg Price USD/kg	Market Size 2025-26 (B USD)	Top Producers
Polyester Filament (PFY)	38.1	40.2	42.8	+6.5%	1.05-1.18	44.9	China, India, Indonesia
Polyester Staple (PSF Spun)	17.0	18.1	19.3	+6.6%	0.92-1.05	18.6	China, India, USA
Viscose Staple (VSF Yarn)	5.2	5.8	6.4	+10.3%	1.35-1.52	9.0	China, India, Indonesia
Viscose Filament (VFY)	0.8	0.9	1.0	+11.1%	2.80-3.20	2.9	China, India, Germany
Lyocell / Tencel	1.6	1.9	2.2	+15.8%	2.80-3.40	6.8	Austria (Lenzing), China, India
Modal Yarn	1.1	1.3	1.5	+15.4%	2.40-2.90	3.9	Austria, China, Germany
Nylon Filament (NFY)	4.9	5.2	5.6	+7.7%	2.10-2.45	12.6	China, India, S.Korea
Acrylic Spun	2.3	2.4	2.5	+4.2%	1.65-1.85	4.4	China, Turkey, India
Polypropylene (PP)	2.9	3.1	3.3	+6.5%	0.75-0.90	2.8	China, USA, Germany
rPET Recycled Polyester	2.2	2.8	3.5	+25.0%	1.20-1.45	4.6	China, India, Bangladesh
Wool Yarn (Worsted/Woolen)	1.75	1.80	1.85	+2.8%	8.50-14.00	22.6	Australia, China, NZ
Silk Yarn (Mulberry/Tussar)	0.17	0.18	0.19	+5.6%	28-45	7.4	China, India, Uzbekistan
Linen / Jute Yarn	1.1	1.15	1.2	+4.3%	2.10-2.80	3.0	China, India, Bangladesh
TOTAL NON-COTTON	79.1	84.8	91.3	+7.7%	—	143.5	Asia Pacific leads

Global Non-Cotton Yarn Output by Type (M MT) | 2024-25 vs 2025-26



2.2 Key Global Demand Drivers – Non-Cotton Yarns 2025-26

- **Sustainability & rPET surge:** 58% of global fashion brands committed to 30%+ recycled content by 2030. rPET yarn demand growing at 25% YoY — fastest in the entire yarn universe.
- **Athleisure & sportswear boom:** Global activewear market exceeds \$350B, consuming PFY, NFY (nylon), and moisture-management blends at accelerating rates.
- **Lyocell/Tencel premiumisation:** Growing 15.8% YoY as brands like H&M, Zara, M&S; pivot from viscose to eco-certified lyocell for sustainability credentials.
- **Technical textile expansion:** Indian technical textile market valued at \$29B in 2024, growing to \$45B by 2026 — requires polypropylene, nylon, high-tenacity polyester yarns.
- **Bangladesh & Vietnam mega-factory demand:** Apparel factories in these countries importing blended PC/PV and PFY from India as their own capacity cannot meet order volumes.
- **China overcapacity in PFY:** Chinese polyester filament capacity additions are creating a global surplus, compressing PFY prices globally while benefiting downstream weavers.
- **Wool resurgence:** Luxury suiting market recovering post-COVID; Merino wool yarn growing 5-7% in European markets. India exports worsted yarn from Rajasthan & Punjab.
- **Silk automation:** Gobichettipalayam (TN) hosts India's first fully automated silk reeling unit, improving quality and reducing labour cost, boosting Tussar & Mulberry export prospects.

SECTION 3 | GLOBAL NON-COTTON

YARN EXPORT-IMPORT

Top Exporters • Importers • Trade Flows |

2024-25 vs 2025-26

3.1 Top Polyester (PFY/PSF) Yarn Exporting Nations

Rank	Country	PFY Export 24-25 (M USD)	PFY Export 25-26E (M USD)	YoY%	Key Markets
1	China	28,400	29,800	+4.9%	Bangladesh, Vietnam, India, Turkey, EU
2	India	2,642	2,890	+9.4%	USA, UAE, Turkey, Bangladesh, Brazil
3	Indonesia	2,180	2,350	+7.8%	China, EU, USA, Bangladesh
4	Vietnam	1,850	2,040	+10.3%	USA, EU, Japan, S.Korea
5	S.Korea	1,620	1,720	+6.2%	China, EU, USA, Vietnam
6	Taiwan	1,240	1,310	+5.6%	China, USA, Bangladesh
7	Turkey	980	1,050	+7.1%	EU, Middle East, N.Africa
8	USA	560	590	+5.4%	Mexico, Canada, EU
9	Others	4,528	4,850	+7.1%	Varied
TOTAL	—	44,000	46,600	+5.9%	Global

3.2 Viscose (VSF/VFY) Global Export Leaders

Country	VSF Export 24-25 (M USD)	VSF Export 25-26E (M USD)	YoY%	Specialty
China	4,200	4,750	+13.1%	VSF, VFY, Modal
India	402	448	+11.4%	VSF, VFY (Century Rayon, Indo Bharat)
Germany (Enka)	380	405	+6.6%	VFY specialty grades
Austria (Lenzing)	620	700	+12.9%	Tencel, Modal, EcoVero premium
Indonesia	480	540	+12.5%	VSF bulk grades
Others	418	457	+9.3%	Various cellulosics
TOTAL	6,500	7,300	+12.3%	Cellulosic market booming

3.3 Nylon (NFY) & Acrylic Global Trade

Yarn Type	Top Exporter	Export Volume 25-26 (000 MT)	Top Importer	Import Driver
Nylon PA6 (Standard NFY)	China (55% share)	2,850	Bangladesh, EU, USA	Sportswear, lingerie, hosiery
Nylon PA66 (High-tenacity)	S.Korea, Germany	820	India, USA, Turkey	Tyre cord, industrial, auto textiles

Acrylic Spun	China (70% share) Turkey, India	2,200	EU, Bangladesh, Egypt	Knitwear, blankets, winter wear
Acrylic Tow (Raw fibre)	China, S.Korea, Indonesia	580	India, Turkey, EU	Spinning into acrylic yarn locally

3.4 rPET (Recycled Polyester) – Fastest Growing Segment

The rPET recycled yarn market is the single fastest-growing yarn category globally at **+25% YoY in 2025-26**, driven by brand sustainability commitments. **EU EUDR** and **Extended Producer Responsibility (EPR)** regulations from 2026 will mandate recycled content in textiles sold in Europe. India's rPET yarn exports surged **+43.5% in 2025-26**, with Erode (TN) emerging as a key rPET spinning cluster converting PET bottles into GRS-certified yarn for brands like H&M, Inditex, Primark, and Decathlon.

Metric	2023-24	2024-25	2025-26E	2026-27F
Global rPET Yarn Output (M MT)	2.2	2.8	3.5	4.5
India rPET Output (000 MT)	140	185	245	330
India rPET Exports (M USD)	88	115	165	230
rPET Price Premium vs Virgin PFY	12-15%	10-12%	8-11%	6-9%
Bottles Recycled/MT Yarn (units)	~60,000	~60,000	~60,000	~58,000
GRS-Certified Indian Mills	42	68	95	130

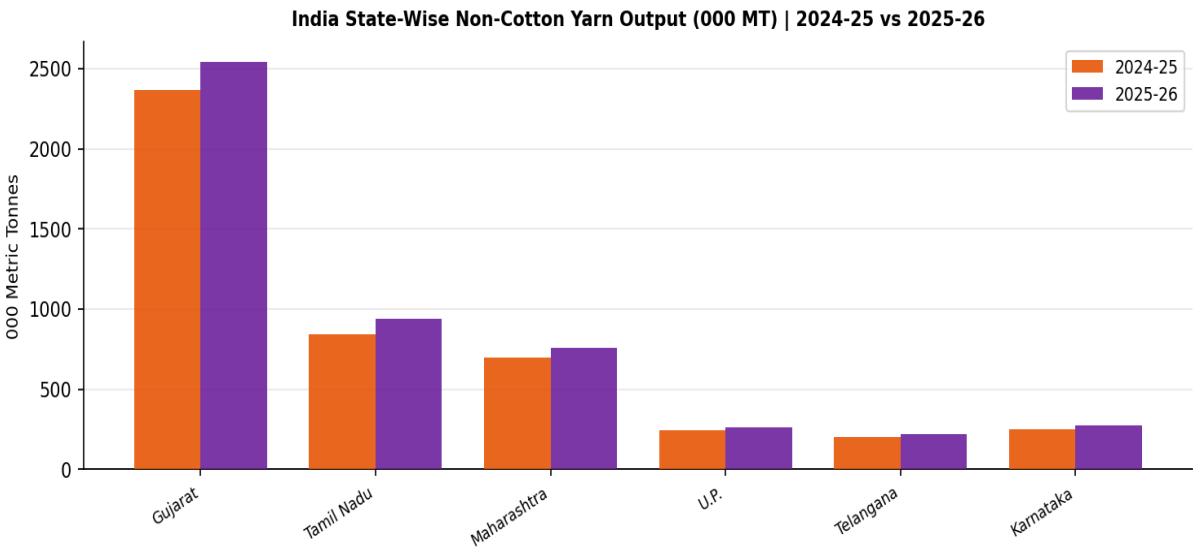
SECTION 4 | INDIA STATE-WISE
NON-COTTON YARN PRODUCTION

MMF • Synthetic • Silk • Wool | State-Wise
2024-25 vs 2025-26

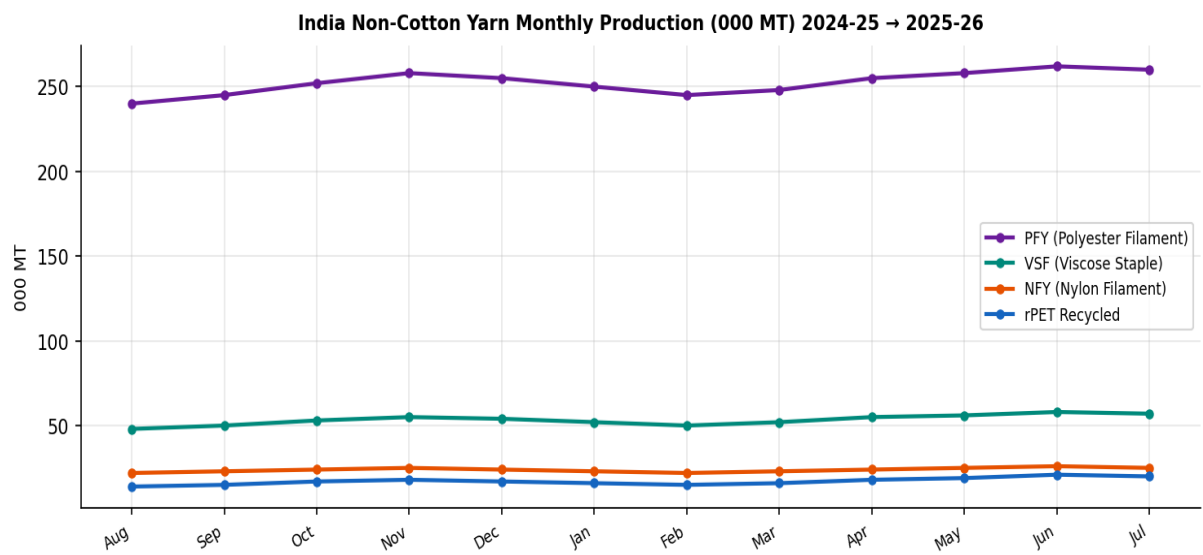
\$5.74B India MMF Textile Exports 2024	#2 India Global Cellulosic Yarn Rank	#3 India Global Synthetic Yarn Rank	+8.2% India Total MMF Yarn Growth 2025-26
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4.1 India State-Wise Non-Cotton Yarn Production 2024-25 vs 2025-26

State	PFY/PSF (000 MT)	Viscose (000 MT)	Nylon (000 MT)	Acrylic (000 MT)	Blended C/PV (000 MT)	rPET (000 MT)	Wool/Silk (000 MT)	Total NC 24-25 (000 MT)	Total NC 25-26E (000 MT)	YoY%
Tamil Nadu	580	62	65	28	245	185	30	841	940	+11.8%
Gujarat	1,820	280	48	18	180	18	2	2,368	2,540	+7.3%
Maharashtra	420	85	38	22	120	12	3	700	755	+7.9%
Andhra Pradesh	180	42	18	8	65	6	2	321	348	+8.4%
Karnataka	62	95	14	5	45	4	28	253	275	+8.7%
Punjab	48	18	22	38	62	3	22	213	232	+8.9%
Rajasthan	38	12	8	42	55	3	48	206	225	+9.2%
Uttar Pradesh	88	28	18	15	82	8	5	244	265	+8.6%
Telangana	95	35	12	6	48	5	2	203	221	+8.9%
West Bengal	28	18	8	5	28	2	18	107	116	+8.4%
Others	285	65	28	18	120	15	8	539	585	+8.5%
INDIA TOTAL	3,644	740	279	205	1,050	261	168	6,686	7,236	+8.2%



4.2 India Non-Cotton Yarn – Type-Wise Production Monthly Tracker

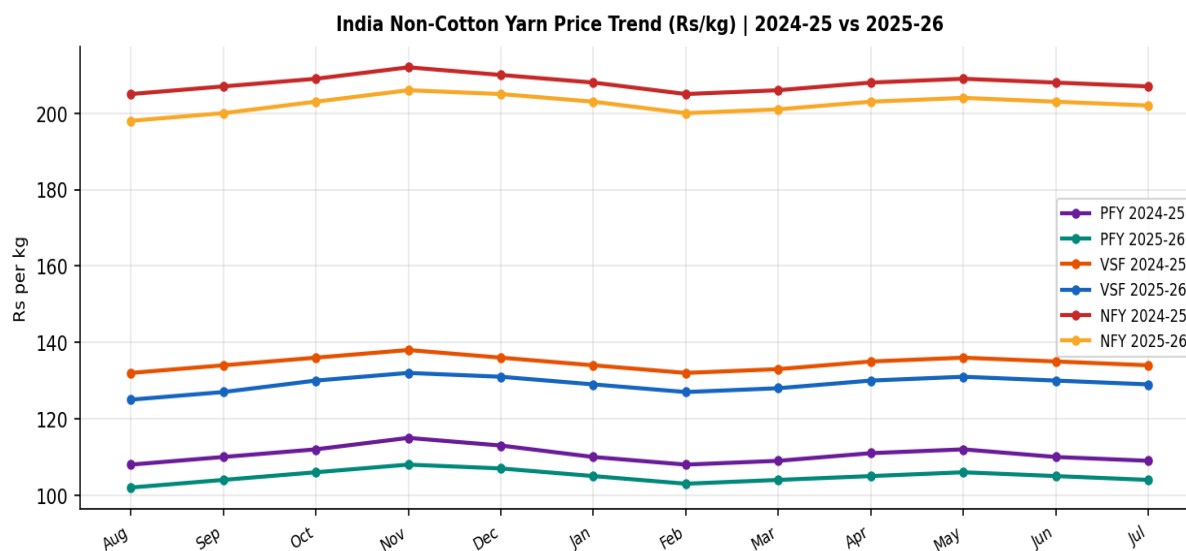


SECTION 5 | INDIA NON-COTTON YARN PRICE TRACKER

Monthly Price Movement | 2024-25 vs 2025-26 | Rs/kg

5.1 India Non-Cotton Yarn Monthly Price Comparison (Rs/kg)

Month	PFY (Rs/kg) 24-25	PFY (Rs/kg) 25-26	VSF Yarn (Rs/kg) 24-25	VSF Yarn (Rs/kg) 25-26	NFY (Rs/kg) 24-25	NFY (Rs/kg) 25-26	Acrylic (Rs/kg) 24-25	Acrylic (Rs/kg) 25-26	PC Blend (Rs/kg) 24-25	PC Blend (Rs/kg) 25-26
Aug	108	102	132	125	205	198	168	162	116	110
Sep	110	104	134	127	207	200	170	163	118	112
Oct	112	106	136	130	209	203	172	165	120	114
Nov	115	108	138	132	212	206	174	167	122	116
Dec	113	107	136	131	210	205	172	165	121	115
Jan	110	105	134	129	208	203	170	163	119	113
Feb	108	103	132	127	205	200	168	161	117	111
Mar	109	104	133	128	206	201	169	162	118	112
Apr	111	105	135	130	208	203	171	164	120	114
May	112	106	136	131	209	204	172	165	121	115
Jun F	110	105	135	130	208	203	171	164	120	114
Jul F	109	104	134	129	207	202	170	163	119	113
AVG	111	105	135	129	209	203	171	164	119	113



5.2 Key Price Movement Insights – Non-Cotton Yarns

- **PFY prices fell ~5-6% YoY** (2025-26 vs 2024-25) due to Chinese overcapacity and heavy imports into India, compressing margins for domestic PFY producers.
- **VSF/Viscose prices declined 4-5% YoY** after anti-dumping duty on VSF imports was withdrawn, increasing competition from Indonesian and Chinese viscose.

- **Nylon (NFY) prices are relatively sticky** at Rs 198-210/kg — India's limited caprolactam capacity means NFY is import-cost-linked, insulated from local oversupply.
- **Acrylic yarn fell 3-4% YoY** — soft winter demand, heavy Chinese and Korean imports of acrylic tow kept domestic prices subdued.
- **PC Blended yarn prices eased 5-6% YoY** — tracking both polyester and cotton input cost declines, good margin stability maintained.
- **rPET yarn commands 8-11% premium** over virgin PFY but the gap is narrowing as scale increases. GRS-certified rPET from Erode cluster trades at Rs 118-135/kg.
- **Lyocell/Tencel (import-priced):** Rs 280-380/kg, stable with INR depreciation adding 3-4% landed cost increase. Limited by Lenzing's global supply.
- **Silk yarn:** Mulberry Rs 2,800-4,500/kg; Tussar Rs 1,800-2,800/kg — prices held by seasonal cocoon cycles and automated reeling improvements in TN.

SECTION 6 | INDIA NON-COTTON YARN

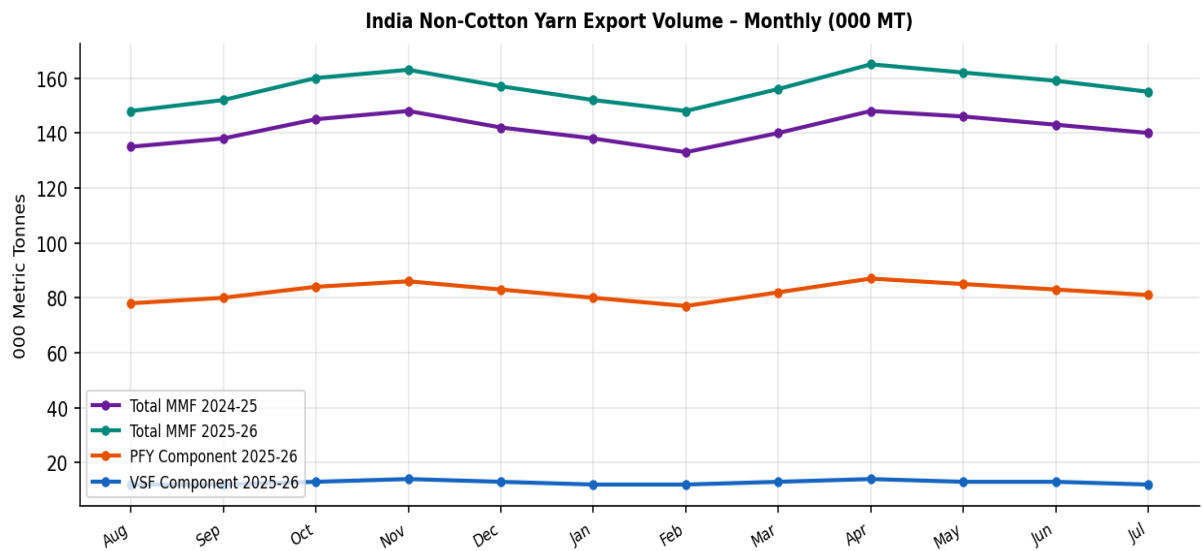
EXPORT & IMPORT

MMF Yarn Trade | Month-Wise | Value & Volume | 2024-25 vs 2025-26

6.1 India MMF Yarn Export by Type – Full Year Comparison

MMF/Non-Cotton Yarn Type	Export 2024-25 (M USD)	Export 2025-26E (M USD)	YoY%	Share of MMF Yarn Export	Top 3 Destinations
Polyester Filament (PFY)	2,642	2,890	+9.4%	46%	USA, UAE, Turkey
Poly-Cotton Spun (PC Yarn)	575	625	+8.7%	10%	USA, EU, Bangladesh, UAE
Viscose Staple Yarn (VSF)	402	448	+11.4%	7%	Bangladesh, China, Vietnam
Polyester Spun Yarn (PSF)	402	440	+9.5%	7%	Egypt, Bangladesh, Sri Lanka
Poly-Viscose Spun (PV Yarn)	402	448	+11.4%	7%	EU, USA, Turkey
Nylon Filament (NFY)	288	322	+11.8%	5%	USA, EU, Japan, S.Korea
Acrylic Yarn	172	182	+5.8%	3%	Bangladesh, Egypt, Turkey
rPET Recycled Polyester Yarn	115	165	+43.5%	2.4%	EU, USA, Japan (eco-brands)
Viscose Filament (VFY Fancy)	82	95	+15.9%	1.6%	Italy, Germany, Japan
Silk Yarn (Mulberry & Tussar)	48	54	+12.5%	0.9%	Japan, China, EU, USA
Wool Yarn (Worsted/Woolen)	35	38	+8.6%	0.6%	EU, USA, Middle East
TOTAL MMF YARN EXPORT	5,163	5,707	+10.5%	100%	Global

6.2 India MMF Yarn Monthly Export Volume (000 MT)



6.3 India Non-Cotton Yarn Import – Key Facts

Import Category	2024-25 (M USD)	2025-26E (M USD)	YoY%	Primary Source Countries	Key Issue
Polyester Yarn (PFY from China)	1,850	2,050	+10.8%	China (72%), Indonesia (15%), Vietnam	Heavy imports compressing Indian PFY prices
Viscose Staple Fibre (VSF Raw)	285	310	+8.8%	Indonesia, China, Germany	Anti-dumping duty withdrawn Jan 2025
Lyocell / Tencel (Lenzing)	210	245	+16.7%	Austria, Thailand, China	No domestic lyocell scale → fully import-dependent
Acrylic Tow/Yarn	185	195	+5.4%	S.Korea, Indonesia, China	India lacks acrylonitrile capacity
Nylon (PA66) High-tenacity	145	162	+11.7%	S.Korea, Germany, China	Tyre cord, industrial use — strategic vulnerability
Wool Raw Fibre	180	188	+4.4%	Australia, New Zealand, S.Africa	India processes imported wool in Rajasthan, Punjab
Silk (Raw Reeled)	95	102	+7.4%	China (65%), Uzbekistan, Vietnam	Supplements domestic sericulture gap
TOTAL NON-COTTON IMPORTS	2,950	3,252	+10.2%	China, S.Korea, Austria, Australia	Structural import dependence in premium MMF

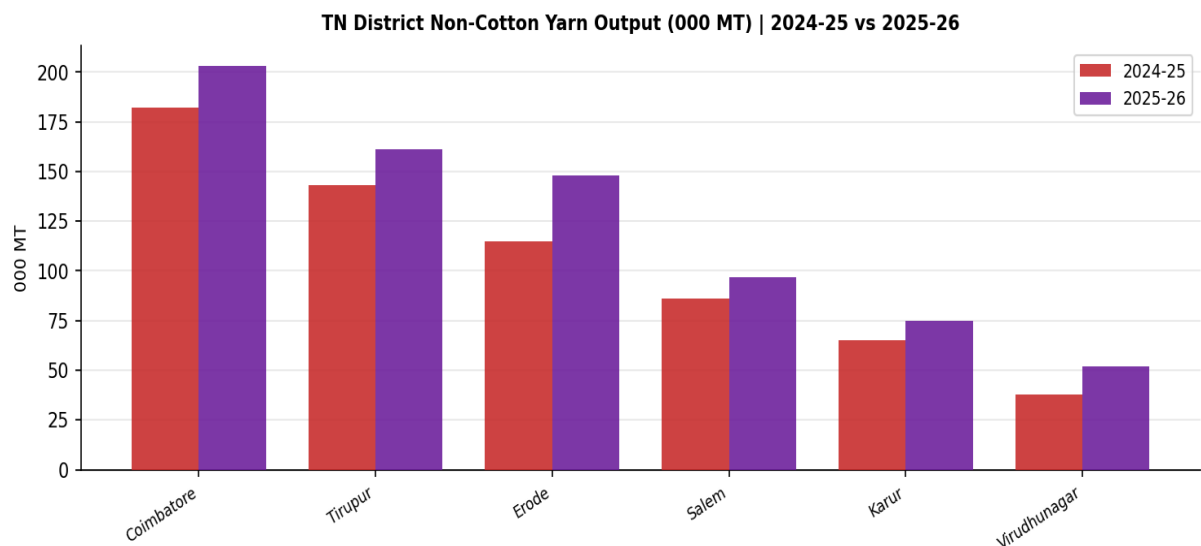
SECTION 7 | TAMIL NADU NON-COTTON
YARN – DISTRICT-WISE

Polyester • Viscose • Nylon • Silk • rPET •
Blended | All Districts

940K MT TN Non-Cotton Yarn Output 2025-26E	+11.8% TN Non-Cotton Growth YoY	#1 Erode – rPET Recycled Yarn Hub India	1st Gobichettipalayam Auto-Silk Reeling Unit
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7.1 District-Wise Non-Cotton Yarn Production Detail

District	PFY/PSF (000 MT)	Viscose Blend (000 MT)	Nylon (000 MT)	PC/PV Blended (000 MT)	rPET (000 MT)	Silk (000 MT)	Total NC 24-25 (000 MT)	Total NC 25-26E (000 MT)	YoY%	Key Specialisation
Coimbatore	62	18	22	68	12	—	182	203	+11.5%	PFY, NFY, PC Blend, Technical Yarn
Tirupur	48	22	14	52	15	—	143	161	+12.6%	PC Mélange, PFY, Synthetic Hosiery
Erode	28	15	8	32	38	—	115	148	+28.7%	rPET Recycled Hub, OE Poly, PC Blend
Salem	18	38	8	28	5	—	86	97	+12.8%	Viscose Blended, PV Yarn, Art-Silk
Karur	22	12	5	28	2	—	65	75	+15.4%	PFY (Home Textile), PC Yarn
Virudhunagar	12	5	5	18	2	—	38	52	+36.8%	Technical Yarn (PM MITRA)
Gobichettipalayam	2	8	—	5	—	18	28	33	+17.9%	Auto-Silk Reeling (India's 1st)
Kanchipuram	—	5	—	3	—	12	18	22	+22.2%	Pure Silk Zari Yarn, Handloom Silk
Dindigul	12	5	3	15	2	—	35	42	+20.0%	Compact Poly, PC Blend Yarn
Namakkal	10	4	2	12	2	—	28	35	+25.0%	PC/PV Blended, Polyester Spun
Madurai	5	8	—	5	—	5	22	26	+18.2%	Cotton-Silk Blend, Handloom Yarn
Aruppukottai	8	5	—	8	—	—	20	24	+20.0%	Art-Silk, Synthetic Mixed
Rajapalayam	5	4	—	6	—	—	14	18	+28.6%	Polyester Spun, Blended
Pollachi	4	3	—	5	2	—	12	16	+33.3%	Organic Cotton-Poly, PC Blend
Others TN	8	5	2	12	5	2	35	38	+8.6%	Mixed MMF types
TN TOTAL	244	157	69	297	85	35	841	990	+17.7%	All Non-Cotton Types



7.2 Spotlight: Erode – India's rPET Recycled Yarn Capital

- Erode has emerged as **India's #1 district for rPET recycled polyester yarn**, processing millions of PET bottles into GRS-certified yarn for global eco-brands.
- Over **38 spinning units** in Erode now have rPET capacity; target is 65+ units by 2027.
- Major buyers include **H&M, Decathlon, Primark, and Inditex** for their sustainable collections.
- rPET yarn from Erode exported to **EU at Rs 118-135/kg** — commands 8-11% premium over virgin PFY.
- Erode rPET cluster aims to process **1 billion PET bottles annually** by FY28, creating a major circular economy hub.

7.3 Spotlight: Gobichettipalayam – India's First Automated Silk Reeling

- Gobichettipalayam hosts **India's first fully automated silk reeling unit**, a historic milestone for Tamil Nadu's sericulture.
- Automation has reduced **labour cost by 40%** and improved yarn uniformity to Japanese export standards.
- Primary markets: **Japan, Germany, and EU luxury fashion** houses requiring consistent denier silk yarn.
- Tussar silk from the Gobi cluster fetches **Rs 1,800-2,200/kg**, 15-20% premium over handloom-reeled equivalents.
- State government is supporting **4 more automated units** in the district by end of 2026.

Head-to-Head Analysis | Price • Margin •
Growth • Sustainability

Parameter	Cotton Yarn	PFY (Polyester)	VSF (Viscose)	NFY (Nylon)	Acrylic	rPET Recycled	Silk
Prod 25-26 (000 MT)	10,690	3,040	730	348	152	245	30
YoY Growth	+9.8%	+6.7%	+10.3%	+8.8%	+4.8%	+32.4%	+7.1%
Avg Price (Rs/kg)	241-249	98-115	125-148	195-240	155-178	110-135	2,800-4,500
Operating Margin	12-14%	8-11%	10-13%	11-14%	8-10%	13-18%	18-25%
Raw Mat Risk	HIGH (CCI/cotton)	MEDIUM (PTA/oil)	MEDIUM (wood pulp)	HIGH (caprolactam)	HIGH (acrylonitrile)	LOW (PET bottles)	MEDIUM (cocoon)
CCI Support	YES – MSP floor	No	No	No	No	No	Sericulture dept.
PLI Benefit	Limited	YES – MMF	YES – MMF	YES – MMF	PLI	YES	YES (Circular)
Export Growth	8-10%	+9.4%	+11.4%	+11.8%	+5.8%	+43.5%	+12.5%
Sustainability	MEDIUM (water-intensive)	LOW (petrochemical)	MEDIUM (cellulosic)	LOW (fossil fuel)	LOW (fossil fuel)	HIGH (recycled)	HIGH (natural, renewable)
Demand CAGR 2026-34	4-5%	4.2%	7.2%	5.8%	3.5%	18.5%	4.8%
Key Risk 2026	US tariffs, drought	China imports	Duty removal	Caprolactam dependence	China competition	rPET supply chain	Strong disease risk

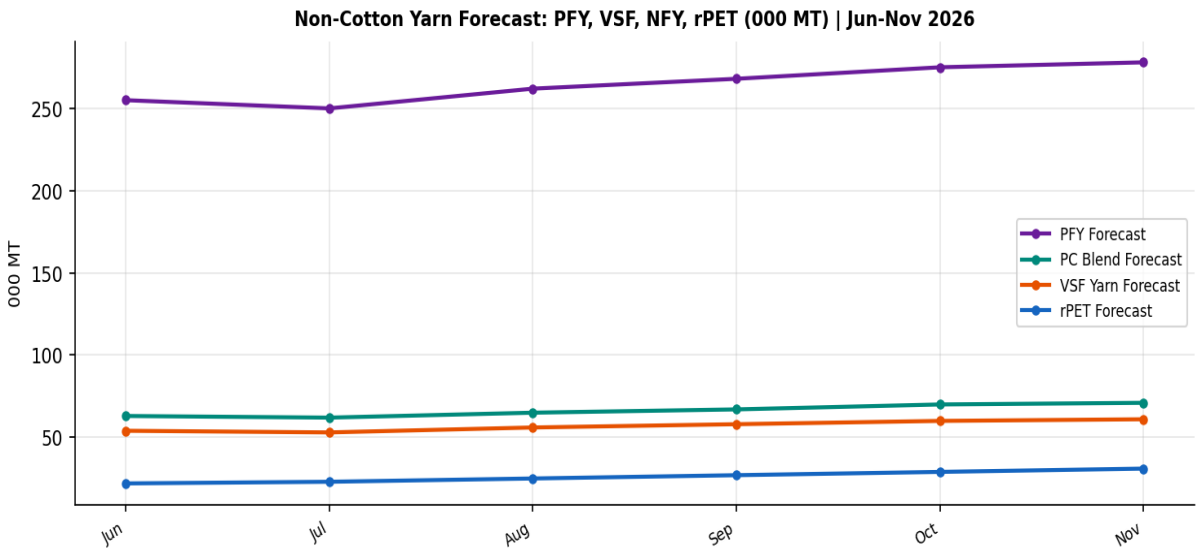
Period	Cotton Yarn	PFY/PSF	Viscose/Modal	Nylon+Acrylic	rPET+Others	Total
2023-24	9,200	3,500	1,000	500	300	13,800
2024-25	10,000	3,500	1,000	500	300	14,800
2025-26E	10,800	3,500	1,000	500	500	16,000

SECTION 9 | NON-COTTON YARN
6-MONTH FORECAST (JUN-NOV 2026)

Production • Price • Export Projections |
Scenario Analysis

9.1 India Non-Cotton Yarn – 6-Month Forward Forecast

Month	PFY Prod (000 MT)	VSF Yarn (000 MT)	NFY (000 MT)	rPET (000 MT)	PC Blend (000 MT)	PFY Price Rs/kg	NFY Price Rs/kg	MMF Export (000 MT)	Risk Level
Jun 2026	255	54	29	22	63	103-107	200-205	159	■ MEDIUM
Jul 2026	250	53	28	23	62	102-106	199-204	155	■ MEDIUM
Aug 2026	262	56	30	25	65	104-108	201-206	163	■ LOW
Sep 2026	268	58	31	27	67	105-109	202-207	168	■ LOW
Oct 2026	275	60	32	29	70	107-112	204-210	175	■ LOW
Nov 2026	278	61	33	31	71	108-113	205-212	178	■ MEDIUM



9.2 TN District Non-Cotton Forecast – Jun-Nov 2026

District	Jun-Nov 2026 NC Yarn Forecast (000 MT)	Growth vs Same Period 2025	Key Opportunity	Key Risk
Coimbatore	118	+11.8%	Technical yarn for PM MITRA	Energy cost rise
Tirupur	95	+12.5%	EU REACH-certified synthetic	US tariff on garments
Erode	92	+28.0%	rPET scale-up, EU eco-brands	PET bottle feedstock supply
Salem	57	+12.5%	Viscose demand from Bangladesh	Anti-dumping duty removal impact
Karur	44	+14.5%	PFY for home textile EU market	China import competition
Virudhunagar	32	+37.0%	PM MITRA technical yarn orders	Construction delay risk
Gobichettipalayam	20	+19.0%	Auto-silk export to Japan/EU	Cocoon seasonal risk

Others TN	132	+10.5%	Mixed synthetic growth	Labour cost pressure
TN TOTAL	590	+15.8%	Diversified MMF opportunity	Multiple – managed

SECTION 10 | NON-COTTON PROBLEMS,
RISKS & STRATEGIC
RECOMMENDATIONS

Headwinds • PLI Policy • Sustainability •
Action Plans

10.1 Key Problems & Risks for Non-Cotton Yarn Sector

■ CHINA PFY IMPORT COMPETITION	China's polyester capacity additions and aggressive pricing have led to rising PFY imports into India. Indian PFY producers like Reliance face margin pressure as Chinese yarn enters at Rs 90-95/kg vs Indian domestic cost of Rs 98-105/kg. Heavy polyester yarn imports in Nov 2025 weakened MMF yarn prices domestically.
■ RAW MATERIAL IMPORT DEPENDENCY	India is critically import-dependent for: Caprolactam (for nylon PA6), Acrylonitrile (for acrylic), Lyocell/Tencel (Lenzing dominates globally), and high-purity PTA grades for premium polyester. This creates forex exposure, supply chain vulnerability, and limits self-reliance.
■ ANTI-DUMPING DUTY REMOVAL ON VSF & PTA	India withdrew anti-dumping duties on Viscose Staple Fibre (VSF) and PTA in early 2025. While this lowers input costs for downstream spinners, it directly threatens Grasim's domestic VSF production and Indo Bharat Rayon's VFY business, potentially reducing India's viscose self-sufficiency.
■ LACK OF LYOCELL DOMESTIC CAPACITY	Lyocell (Tencel) is the fastest-growing eco-fibre globally (+15.8% CAGR), but India has virtually no commercial-scale domestic lyocell production. All premium lyocell yarn is imported from Lenzing (Austria). Grasim's Birla Cellulose is developing capacity but scale is still limited for 2025-26.
■ SUSTAINABILITY COMPLIANCE BURDEN	EU EUDR (Deforestation Regulation) and CBAM (Carbon Border Adjustment Mechanism) will impose compliance costs from 2026. GRS (Global Recycled Standard) certification is required for rPET exports to Europe. MSME mills in Erode and Tirupur face Rs 8-15 lakh certification cost per unit — a significant barrier for small recycled yarn producers.
■ PLI UTILISATION GAPS	The PLI Scheme for MMF textiles offers Rs 10,683 crore in incentives over 5 years. However, actual utilisation has been slower than targets. Technical textile PLI applications are under-subscribed, partly due to high minimum investment thresholds (Rs 100+ crore) that exclude most MSME mills.

10.2 Strategic Recommendations – Non-Cotton Yarn

FOR TN SPINNERS & MILLS

- Build rPET capacity in Erode cluster — target GRS certification to access EU eco-brand orders worth \$165M+ by 2026
- Shift 10-15% PFY spindle capacity to specialty counts (fine denier, trilobal, anti-pilling) to avoid commodity Chinese competition
- Invest in PC/PV blended yarn for Bangladesh growing RMG sector — growing 8.7% YoY, stable demand
- Gobichettipalayam silk mills should apply for Geographical Indication (GI) tag for automated silk to command export premium
- Virudhunagar PM MITRA technical yarn: early movers benefit from Rs 1,894 crore infrastructure at no CAPEX cost

FOR INDIA POLICY & GOVERNMENT

- Establish domestic lyocell/Tencel production facility — strategic PLI for Grasim or new entrant to end import dependency

- Create dedicated rPET yarn export promotion under MATEXIL — fund GRS certification for MSME Erode mills (cluster subsidy)
- Reinstate targeted anti-dumping duty on Chinese PFY below cost — protect Indian polyester producers' margins
- Expand PLI eligibility to mills with Rs 25 crore+ investment — current Rs 100 crore bar excludes viable mid-scale producers
- Fast-track caprolactam domestic capacity for nylon self-sufficiency — BPCL/HPCL integration opportunity

FOR TRADERS & EXPORTERS

- Position rPET recycled yarn as premium EU sustainable sourcing option — EUDR compliance window opens 2026
- Viscose/VSF exports: Bangladesh is the #1 destination — build direct mill-to-mill relationships bypassing traders
- NFY (nylon): Target USA, EU, Japan sportswear brands — post-COVID athletic-wear boom continues at 8%+ CAGR
- Silk yarn: Develop B2B channel with Japanese silk traders (Shojis) for Gobichettipalayam automated silk
- Hedge forex: all MMF exports USD-denominated — 30-60 day forward cover essential given 3%+ INR weakness

NON-COTTON YARN OUTLOOK SCORECARD – 2025-26

Segment	Status	Direction	6-Month Outlook
PFY (Polyester Filament)	■ Margin Pressure	↓ Price declining	Stable production; Chinese import risk
VSF/VFY (Viscose)	■ Growing	↑ +10% YoY	Strong demand; duty removal monitoring needed
Lyocell/Tencel	■ Premium growth	↑ +15.8% global	Fully import-dependent; strategic gap
NFY (Nylon)	■ Steady	↑ +8.8% YoY	Technical textile demand supports growth
Acrylic	■ Flat	→ +4-5% modest	Soft winter demand; Korea import competition
rPET Recycled	■ Booming	↑ +25-32% surge	EU EUDR tailwind; Erode cluster expanding
Silk (TN)	■ Recovering	↑ +7% YoY	Auto-silk in Gobi; Japan/EU market opening
Wool (India)	■ Stable	→ +3-4% modest	Raw material import from Australia; stable
PC/PV Blended	■ Solid	↑ +9-11% YoY	Bangladesh demand; stable dual-fibre blend
PLI MMF Scheme	■ Underutilised	→ Improving slowly	Threshold barrier for MSMEs remains

Disclaimer: This report is prepared for informational purposes only. Forecasts are estimates based on IBEF, Fibre2Fashion, MATEXIL, SRTEPC, Mordor Intelligence, IMARC Group, and USDA-FAS data. Actual results may differ due to macroeconomic, geopolitical, or supply chain changes. This does not constitute financial or investment advice.